Trading losses

Content

3. Income from self-employment

f) Relief for trading losses

1. Overview of trading losses

If the trading profit calculated according to the previous chapters is negative, trading loss is generated.

Write zero in the current tax year and consider how to deal with losses.

2. Trading loss relief

2.1 Proforma

	2024-25	2025-26	2026-27
Trading income	X	0	X
Less: Carry forward loss relief			(X)
Other income	X	X	X
Total income	X	X	X
Less: Current year loss relief		(X)	
Less: Carry back loss relief	(X)		
Less: Personal allowance	(X)	(X)	(X)
Taxable income	X	X	X

2. Trading loss relief

- Carry forward loss relief
- Trading loss against total income
- Trading loss against capital gain
- Early trade loss relief
- Terminal trade loss relief

2. Trading loss relief

2.2 Carry forward loss relief

If no claim is made in any other way, trading loss will be carried forward to use against first trading profits in the following years.

The maximum possible trading loss brought forward must be used, personal allowances may be wasted.

Losses may be carried forward without time limits.

Lecture example 1

Mario is a sole trader for many years. His trading results in recent three years are as follows:

Year ended	£
30 June 2023	10,000
30 June 2024	(30,000)
30 June 2025	20,000
30 June 2026	40,000

He has no other income in these years.

What is Mario's taxable income for tax year 2023-24 to 2025-26 assuming that he uses carry forward loss relief only?

2. Trading loss relief

2.3 Trading loss against total income

2.3.1 The relief

- Current year loss relief

A loss can set-off against total income before personal allowance in the current tax year.

- Carry back loss relief

A loss can set-off against total income before personal allowance in the last tax year.

- Related rules

Trading loss deducted order: NSI → SI → DI

If a claim is made, the maximum possible loss must be set off, personal allowances may be wasted.

A claim for the relief must be made by 31 January 2028 for a loss in 2025-26

Lecture example 2

Janet has traded for many years. Recent results are as follows:

	£
Year ended 31 March 2023	20,000
Year ended 31 March 2024	(40,000)
Year ended 31 March 2025	(24,000)
Year ended 31 March 2026	8,000

She also has savings income of £10,000 per annum.

Calculate taxable income for tax year 2022-23 to 2025-26, assuming that most favorable claims of loss relief are made and calculate the losses to be carried forward against future trading profits.

2. Trading loss relief

2.3.2 Cap of relief

When trading loss against total income in a tax year, maximum relief is:

$$\text{CAP} = \text{trading income of same trade} + \text{higher of} \begin{cases} £50{,}000 \\ 25\% \times \text{adjusted total income} \end{cases}$$

Adjusted total income = Total income before PA in the tax year of claim – gross PPS

Lecture example 3

Vivi has been trading for many years, her recent results have been as follows:

Year ended 5 April 2025 trading profit	£40,000
Year ended 5 April 2026 trading loss	(£200,000)

She also has property income of £100,000 per annum.

Show Vivi's taxable income for the tax year 2024-25 and 2025-26 assuming that she claims relief for her trading loss against total income in both of those years.

2. Trading loss relief

2.4 Trading loss against capital gains

Trading losses could set-off against capital gains (after any allowable capital losses) from the loss-making year and previous years.

2. Trading loss relief

2.5 Early trade loss relief

Trading losses incurred in the first 4 tax years of a trade can set against total income before personal allowance of the 3 preceding tax years.

Applying the loss to the earliest year first.

If a claim is made, the maximum possible loss must be set off, personal allowances may be wasted.

If early trade loss relief is chosen, taxpayer should relieve the loss of all 3 preceding tax year.

Claim must be made by 31 January 2028 for a loss in tax year 2025-26..

Lecture example 4

Tim is employed as a designer by a Luxury firms.
On 1 April 2022 he resigned and started up his own business as an independent designer, making up this account to 31 March each year.
His trading results are as follows::

Year ended 2023.3.31 Loss	(£90,000)
Year ended 2024.3.31 Loss	(£30,000)
Year ended 2025.3.31 Profit	£43,000
Year ended 2026.3.31 Profit	£60,000
Year ended 2027.3.31 Profit	£79,000

Tim's employment income prior to 2022-23 was £48,000 per annum.

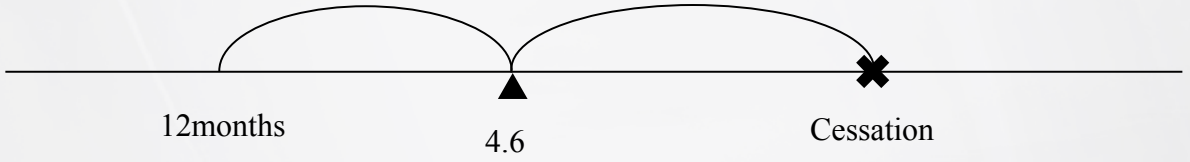
How could the loss be relieved?

2. Trading loss relief

2.6 Terminal trade loss relief

Trading losses in the final 12 months is terminal loss.

Terminal loss could set-off against trading profits as much as possible in the three prior years. Latest year first.



	£
Loss from 6 April before cessation to the date of cessation	a
Loss from 12 months before cessation to 5 April before cessation	b
Terminal loss	X

Lecture example 5

Oli has been self-employed for many years, made up accounts to 31 December each year.
On 30 September 2025, she ceased trading.
The most recent results were:

Year to 2022.12.31	£30,000 profit
Year to 2023.12.31	£25,000 profit
Year to 2024.12.31	£20,000 profit
9 months to 2025.9.30	(£39,000) loss

(a) Show the available terminal loss relief.
(b) If Oli had other non-saving income of £30,000 in each of tax year 2024-25 and 2025-26, show the alternative claim.

2. Tax planning of trading losses

To decide on whether a loss should be relieved in the current year, carried back or carried forward will involve consideration of:

- Trading loss should firstly relieved in the tax year with higher marginal rates of tax. Taxpayer could gain more tax saving.
- Trading loss relief for current year or last year is more beneficial than future tax year. Taxpayer could gain less tax payments or tax repayments faster.
- Use personal allowance as much as possible.

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Quizzes(self-practice)

Quiz 1

Amelia commenced trading on 6 April 2025, preparing her accounts for the 15 months to 30 June 2026. Her tax adjusted loss for this period of trading was (£75,000). Amelia has forecast that she will make profits of £100,000 for the year ending 30 June 2027.
Amelia was previously employed, with employment income in the previous tax years as follows:

2022-23	26,000
2023-24	27,000
2024-25	25,000

Quiz 1

Amelia also had other income of £2,000 annually.
What amount of loss can be relieved against the tax year 2024-25 if Amelia wants to claim opening years loss relief?
A.£27,000
B.£25,000
C.£3,000
D.£18,000

Quiz 1-A

The correct answer is **C**.
Loss for tax year 2025-26:
6 April 2025 to 5 April 2026: 12/15 × £75,000 = £60,000

	2022-23	**2023-24**	**2024-25**
	£	£	£
Trading income	–	–	–
Employment income	26,000	27,000	25,000
Other income	2,000	2,000	2,000
Total income	28,000	29,000	27,000
Less: opening years relief	(28,000)	(29,000)	(3,000)
Net income	0	0	24,000

Quiz 2

Laurent has been self-employed for several years, and ceased trading on 31 March 2026. He has always prepared his accounts to 31 March each year. Laurent's results for previous years were as follows:

Year ended:		£
31 March 2023	Profit	35,000
31 March 2024	Profit	45,000
31 March 2025	Profit	30,000
31 March 2026	Loss	(85,000)

Quiz 2

What relief is available to Laurent against the tax year 2022-23 if he claims terminal loss relief?

A.£5,000
B.£0
C.£35,000
D.£10,000

Quiz 2-A

The correct answer is **D**.
Total loss relief available is £85,000 which should be relieved on LIFO basis as follows:

2024-25	£30,000	
2023-24	£45,000	
2022-23	£10,000	(being £85,000 – £30,000 – £45,000)



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